



Staff Report

TO: Honorable Mayor and Members of the City Council
FROM: Kirk Pelser, Economic Development Director
BY: Joseph Cale, Management Analyst
DATE: July 21, 2026
SUBJECT: California's Opportunity Zone 2.0

Description: Consideration of the City's Recommendation for Designation of an Eligible Census Tract as a California Opportunity Zone 2.0.

Motion:

If the City Council determines that staff's recommendation is appropriate, the following motion is provided:

I move to approve the recommendation to designate the eligible Beaumont census tract identified in Attachment 2 as the City's recommended California Opportunity Zone 2.0 for submission to the State of California, and authorize the City Manager, or designee, to submit the recommendation and execute all documents necessary to complete the State's Opportunity Zones 2.0 nomination process.

Recommendation:

Staff recommends that the City Council approve the City's recommendation to designate the eligible Beaumont census tract as a California Opportunity Zone 2.0 and authorize the City Manager, or designee, to submit the recommendation to the State because Opportunity Zone designation has the potential to attract long-term private investment, support economic revitalization, encourage job creation, and complement the City's existing economic development initiatives while positioning Beaumont to compete for future investment opportunities.

Discussion:

The federal Opportunity Zones Program was established to encourage long-term private investment in qualifying communities through federal tax incentives. In 2025, Congress

permanently reauthorized and updated the program through what is commonly referred to as Opportunity Zones 2.0.

As part of the new program, states are required to identify and nominate new eligible census tracts for designation as Qualified Opportunity Zones. In California, the Governor's Office of Business and Economic Development (GO-Biz), in coordination with the California Department of Finance, is administering the statewide nomination process.

The City of Beaumont has one census tract that has been identified by the U.S. Department of the Treasury as eligible for consideration. Local jurisdictions are encouraged to recommend eligible census tracts that support regional and statewide economic development objectives, after which the Governor will determine which census tracts are ultimately nominated to the U.S. Department of the Treasury.

The recommended census tract includes many of Beaumont's established commercial, employment, industrial, and redevelopment areas, including Downtown Beaumont and properties surrounding the Interstate 10 corridor. These areas continue to play a significant role in the City's long-term economic development strategy and represent locations where future private investment can generate substantial economic benefits for the community.

Designation as an Opportunity Zone does not provide direct funding to the City, nor does it create additional development entitlements or regulatory authority. Rather, the designation provides qualifying investors with potential federal tax incentives intended to encourage private capital investment in eligible areas. Opportunity Zone investment may support commercial, industrial, mixed-use, housing, infrastructure, and business development projects that align with the City's long-term planning objectives.

Submitting this recommendation represents a proactive economic development initiative that positions Beaumont to leverage future private investment opportunities and further the City's strategic efforts to expand its tax base, create quality jobs, encourage reinvestment, and support long-term economic vitality. Opportunity Zone designation would complement the City's existing economic development programs by providing another tool to attract investment and encourage redevelopment within one of the City's most significant economic activity centers. Staff believes submitting the City's eligible census tract is in the best interest of the community and positions Beaumont to compete for future private investment opportunities.

Approval of the recommended action authorizes staff to submit Beaumont's recommendation to the State for consideration. Final designation authority rests with the Governor of California and the U.S. Department of the Treasury.

Fiscal Impact:

There is no direct fiscal impact associated with approval of the recommended action. Preparation and submission of the City's recommendation will be completed using existing staff resources.

Should the census tract ultimately be designated, any future fiscal benefits would depend upon private investment occurring within the Opportunity Zone and cannot be quantified at this time.

Alternatives:

Decline to approve and provide direction to staff.

Attachments:

- A. Opportunity Zones 2.0 – Frequently Asked Questions
- B. Recommended Beaumont Opportunity Zone 2.0 Census Tract Map